November 8, 2026

Eleven Country Groups, 218 Economies

A new classification for the Global Remittances Report, and why it's needed

By Dilip Ratha

In early December, Ratha Global will publish the first Global Remittances Report (GRR No. 1, December 2026), together with the Global Remittances Database (GRD). They cover inward and outward remittances for about 200 countries from 2000 to 2025, with estimates for 2026 and forecasts for 2027. An updated bilateral remittance matrix will follow shortly after.

The World Bank–KNOMAD Migration and Development Brief, which I led for 40 editions, stopped in June 2024. Since then, policymakers, central banks and the remittance industry have had no regular, independent tally of global remittance flows. The GRR aims to fill that gap.

Before the numbers, one design choice shapes how every table and chart in the report reads: how countries are grouped. I recently shared a draft classification on LinkedIn and asked for views. This post sets out the final version, eleven country groups and seven regions covering 218 economies, and explains why the report needs them.

Why a new classification is needed

At the World Bank, my work on remittances focused almost entirely on developing countries: how much they receive, from where, and at what cost. That made sense for a development institution. But the money transfer industry, commercial and investment banks, rating agencies and policymakers deal with the global flow of money, including flows to, from and between developed countries.

Most international statistics group countries by income, usually following the World Bank's four income groups. Under this conventional classification, the high-income group mixes countries with very different remittance stories:

- **Temporary labor hubs.** Foreign workers make up about 95% of the employed in Qatar and about 93% in the United Arab Emirates, most of them on fixed-term contracts. The six Gulf Cooperation Council (GCC) states together are a major source of remittances. In Japan, by contrast, foreign nationals make up under 3% of the population.

- **Sources that are also recipients.** While we tend to think of developed countries as traditional destinations for migrants and as the largest sources of remittances, many of these countries are also large recipients of remittances. This is especially true for the new high-income countries that graduated more recently from the upper-middle-income group, such as Poland and Romania. Russia, too, both sends and receives remittances, as do most developed countries whose visa policies make it easy for each other's citizens to live and work there.

Adding these countries together gives a "high-income" total that describes none of them. The same is true at the other end of the scale. Some groups of low- and middle-income economies share migration corridors and a dependence on remittances that cut across income lines:

- **Central Asia.** Uzbekistan has about 2.1 million emigrants, and the Kyrgyz Republic and Tajikistan each have over half a million, many of them working in Russia. Remittances there move with the Russian economy and the ruble, whatever each country's income group.
- **Eastern Europe.** In Moldova, Ukraine, Armenia and Georgia, emigrants outnumber immigrants.
- **Pacific Island Countries** are among the most remittance-dependent economies anywhere.

A classification built for remittances should keep these groups visible, so that a change in one of them is not averaged away.

The eleven country groups

Country groups and regions are two separate classifications: every economy belongs to exactly one of the eleven groups below and one of the seven regions in the next section, so totals by group and by region each add up to the world total.

Group	Who is in it	Economies
High income		
Traditional	High income since the late 1990s: North America, Western Europe, Japan, Israel, Australia, New Zealand	26
GCC	The six Gulf Cooperation Council states	6
Asian	Korea, Taiwan, Singapore, Hong Kong, Macao, Brunei	6
New	Later graduates to high income, such as Poland, Czechia, Chile and Uruguay	19
Small economies	Under 1 million people, outside the EU and EFTA	30
Low and middle income		
Central Asia	Kazakhstan, Kyrgyz Republic, Tajikistan, Turkmenistan, Uzbekistan	5
Eastern Europe	Belarus, Moldova, Ukraine; Albania, Bosnia and Herzegovina, Kosovo, Montenegro, North Macedonia, Serbia; Armenia, Azerbaijan, Georgia	12
Pacific Island Countries	Fiji, Kiribati, Marshall Islands, Micronesia, Papua New Guinea, Samoa, Solomon Islands, Tonga, Tuvalu, Vanuatu	10
Upper-middle income	All other economies in the World Bank's upper-middle-income group	39
Lower-middle income	All other economies in the World Bank's lower-middle-income group	40
Low income	The World Bank's low-income group	25
World		**218**

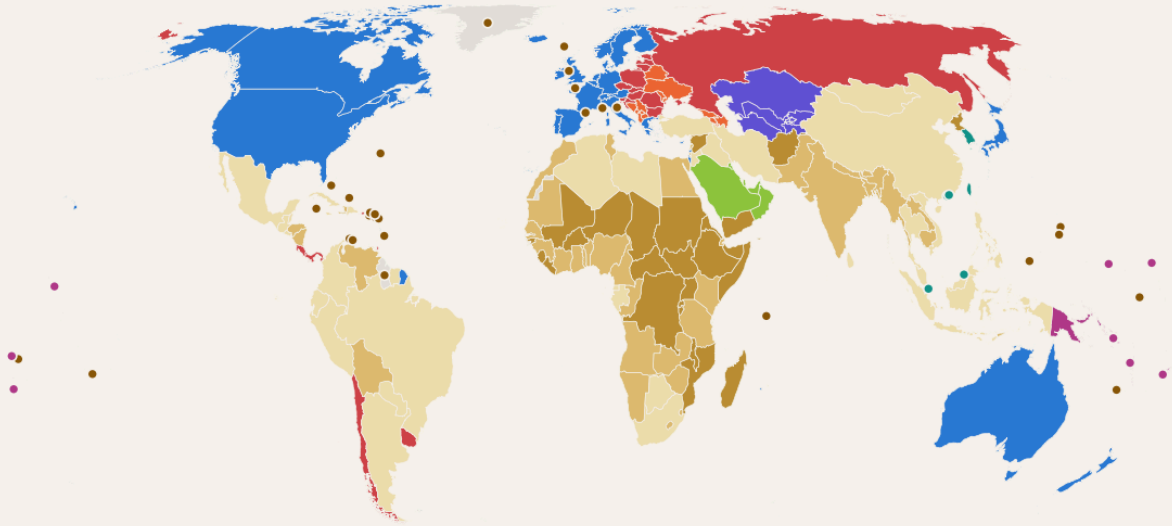
RATHA GLOBAL

COUNTRY CLASSIFICATION

GLOBAL REMITTANCES REPORT NO. 1 · DECEMBER 2026

Eleven country groups, 218 economies

High-income economies are grouped by their role as remittance sources. Three regional groups of low- and middle-income economies are shown separately; the rest follow the World Bank FY2027 income groups.



HIGH-INCOME

- **Traditional** 26
  High income since FY1998 or earlier: North America, Western Europe, Japan, Israel, Australia, New Zealand
- **GCC** 6
  Six Gulf states; temporary contract labour
- **Asian** 6
  Korea, Taiwan, Singapore, Hong Kong, Macao, Brunei (city-states and Brunei shown as dots)
- **New** 19
  Later graduates, e.g. Poland, Czechia, Chile, Uruguay
- **Small economies** 30
  Under 1 million people, outside the EU and EFTA (dots)

LOW- AND MIDDLE-INCOME

- **Central Asia** 5
  Kazakhstan, Kyrgyz Rep., Tajikistan, Turkmenistan, Uzbekistan
- **Eastern Europe** 12
  Belarus, Moldova, Ukraine, Western Balkans, South Caucasus
- **Pacific Island Countries** 10
  Fiji, Papua New Guinea and eight other island states (dots)

OTHER, BY WORLD BANK INCOME GROUP

- **Upper-middle income** 39
- **Lower-middle income** 40
- **Low income** 25

Regions (not shown): seven, built from UN M49 sub-regions.
Sources: World Bank (FY2027 income groups; historical classification FY1989–FY2025); UN DESA (population).
Boundaries from Natural Earth; they do not imply any judgment on the legal status of any territory.

rathaglobal.com

Figure 1. GRR country groups. Small economies and most Pacific Island Countries are shown as dots.

Regions

The GRR and GRD also publish data for seven geographic regions, built from the UN's M49 standard:

Region	Economies
East Asia and Pacific	38
Europe and Central Asia	58
Latin America and the Caribbean	42
Middle East and North Africa	19
North America	4
South Asia	8
Sub-Saharan Africa	49
World	**218**

Each region's totals include all its economies, whatever their income. This matters most for outward flows, which come mainly from high-income economies: a Middle East total without the Gulf states, or a European total without Germany and the United Kingdom, would leave out most of what those regions send. Regional totals therefore add up to the world total, and every region can be broken down by country group.

For each region, the report also shows a subtotal for its low- and middle-income economies. These are the figures most often used in policy discussions, and they keep the GRR comparable with the regional series of the Migration and Development Brief. The World Bank follows the same approach, publishing regional aggregates for all income levels alongside versions that exclude high-income economies.

One difference from current World Bank practice is deliberate. The World Bank has moved Afghanistan and Pakistan from South Asia to a new "Middle East, North Africa, Afghanistan and Pakistan" region. The GRR keeps both in South Asia. This preserves comparability with earlier regional series, and Pakistan's migration corridors, centered on the Gulf, the United Kingdom and the United States, resemble those of India and Bangladesh.

The database also carries other common groupings, such as IMF country groups, least developed countries and small island developing states, as tags.

How the groups were set

The classification starts from established standards and departs from them only where remittance analysis requires it. Income groups follow the World Bank's FY2027 classification, and each economy takes the first group that fits:

1. **GCC** members.
2. The six **Asian** high-income economies.
3. **Small economies**: high income with fewer than 1 million people, except EU and EFTA members.
4. **Traditional**: high income in every year of the World Bank's historical classification since FY1998 or earlier.
5. **New**: all other high-income economies.
6. The three regional groups of low- and middle-income economies: **Central Asia**, **Eastern Europe** and **Pacific Island Countries**.
7. All remaining economies keep their World Bank income group.

The FY1998 cut-off, based on 1996 incomes, separates economies that were already high income in the late 1990s from those that graduated later, mostly in Central and Eastern Europe and Latin America. It places Japan, Israel, Greece and Portugal among the traditional destinations. Korea is grouped with the Asian economies rather than the new ones, because its migration is largely temporary and contract-based, like that of its neighbors.

Some questions from the draft stage remain matters of judgment, such as where Japan and Korea belong. The full rules are in the classification annex of the report.

What comes next

The GRR and GRD will use these groups from the first edition onward. Group totals in each edition will be recalculated when the World Bank updates its income classification each July, so that trends are compared on a consistent basis.

I am grateful to everyone who shared views on the draft. Comments remain welcome at contact@rathaglobal.com, and details of the report, the database and access options are at rathaglobal.com/subscribe.

The Global Remittances Report is published by Ratha Global, an independent firm. It is not affiliated with the World Bank or KNOMAD.

Sources: World Bank, country income classifications and regions for FY2027 and historical classifications from FY1989 to FY2025; UN DESA, International Migrant Stock 2024 and World Population Prospects 2024 (immigrant and emigrant figures are for mid-2024); Gulf Labour Markets, Migration and Population programme, from national labour force surveys (Qatar, 2019; UAE, 2009).